

The Federal Aviation Administration (FAA) mandates a cockpit voice recorder and flight data recorder. This creates a comprehensive and objective data set to study any failure, including a wealth of insights into why planes go down.

Even the famed black box flight recorders are subject to review and improvement. Today, black boxes are *orange*, making them easier to spot in difficult terrain or underwater. They also have submersible locator beacons to aid in their detection and retrieval from the deep ocean. The fact that “black boxes” are orange may be the perfect metaphor for how intensely the industry thinks about safety.

Compare this with a closed system, such as healthcare and hospitals. That industry takes a very different approach to dealing with errors; not surprisingly, it produces vastly inferior results.

How different? Syed notes the remarkable contrast between air travel and preventable medical errors: After heart disease and cancer, medical errors are the third leading cause of death in America. As many as a half-million fatalities in the US, at a cost estimated at \$17 billion a year, are due to errors.⁴⁵⁴ Peter Pronovost, a clinician at Johns Hopkins Medical School, wondered how we would respond if two 747 jumbo jets fell out of the sky each day, killing roughly 900 people.⁴⁵⁵ That’s how many people die daily from medical mistakes.

Why is health care so different from aviation? First, there is little publicly available data and no standardized review process when errors occur. Whatever self-examination takes place is private, sealed, and not readily available for public scrutiny. Some people believe doctors are infallible saviors, creating a reluctance to admit error. Insurance costs, litigation, and protecting reputations reduce the industry’s desire for public accounting. In short, healthcare is everything that aviation is not.

Investing straddles the two approaches. There is a great deal of data, but it isn’t the most open system. SEC rules mandate disclosures by mutual funds